

Nepal's poverty burden is larger for people than for households

NLSS IV shows a wide geographic divide: rural poverty remains elevated, but severe pockets also exist in urban Nepal. Delivery should be geographically targeted while preserving a national social-protection floor.

Prepared for the Right Honourable Prime Minister of Nepal | 21 June 2026 | Evidence source: NLSS IV microdata

Key message. About **20.3% of people** live below the annual real poverty line of NPR 72,908 per person. The rate is 6.3 percentage points higher in rural than urban Nepal, and reaches 40.2% in rural Sudurpaschim.

16.7%

Households below the poverty line
about 1,199,103 households

20.3%

People below the poverty line
about 5,825,840 people

0.300

Gini coefficient of real per-capita consumption, person-weighted

What the evidence says

1. Poverty affects a larger share of people than households

The individual headcount ratio is 20.3%, compared with 16.7% of households. Poor households are therefore larger on average. Planning against the household rate alone would understate the number of people requiring support.

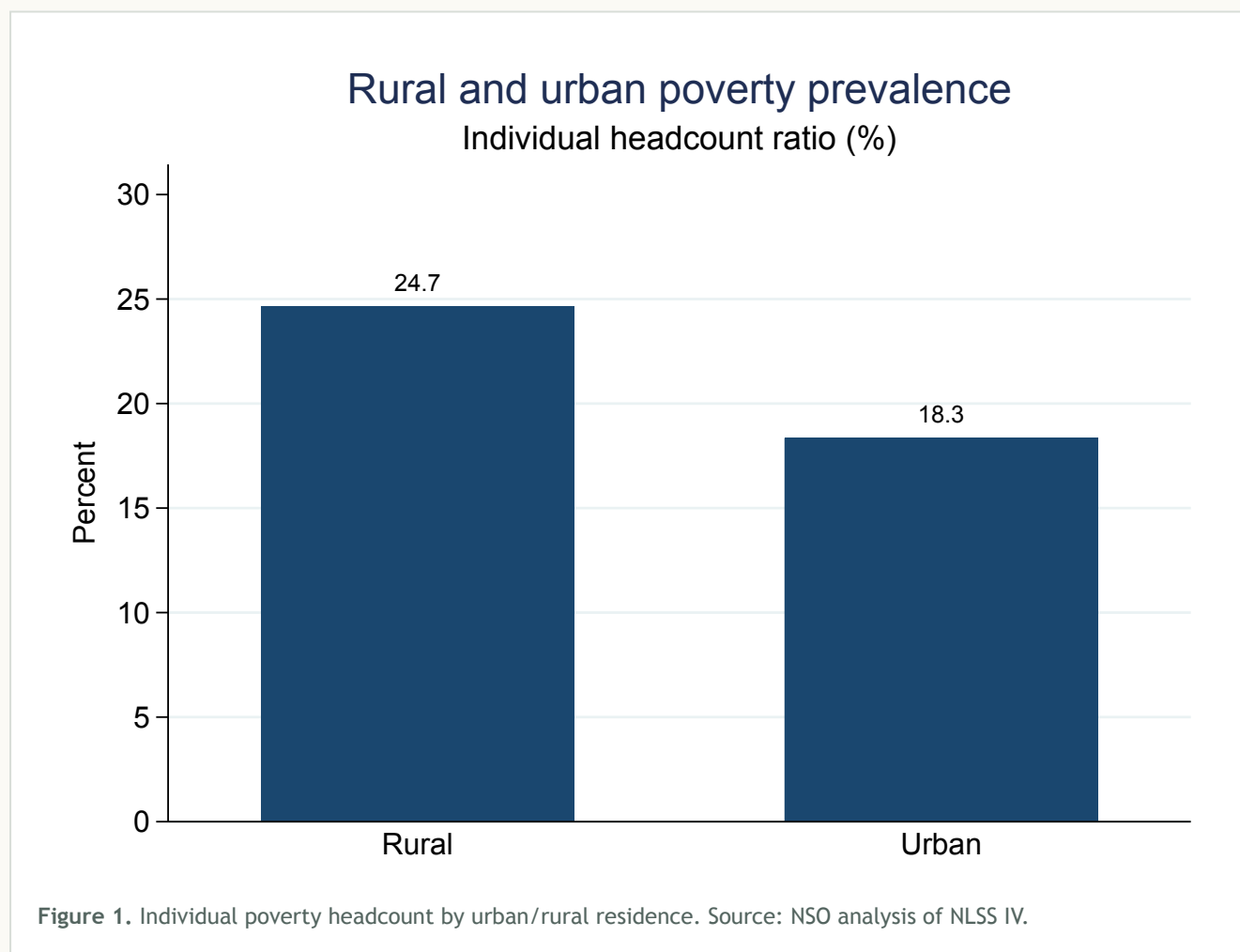
2. Place matters more than the sex of the household head

Individual poverty is 24.7% in rural Nepal and 18.3% in urban Nepal. By contrast, rates for people in male-headed and female-headed households are both 20.3%. This household-head comparison does not measure poverty separately for women and men and should not be read as proof that gender disadvantage is absent.

Area/group	Household poverty (%)	Individual poverty (%)	Gini
Urban	15.2	18.3	0.303
Rural	20.2	24.7	0.287

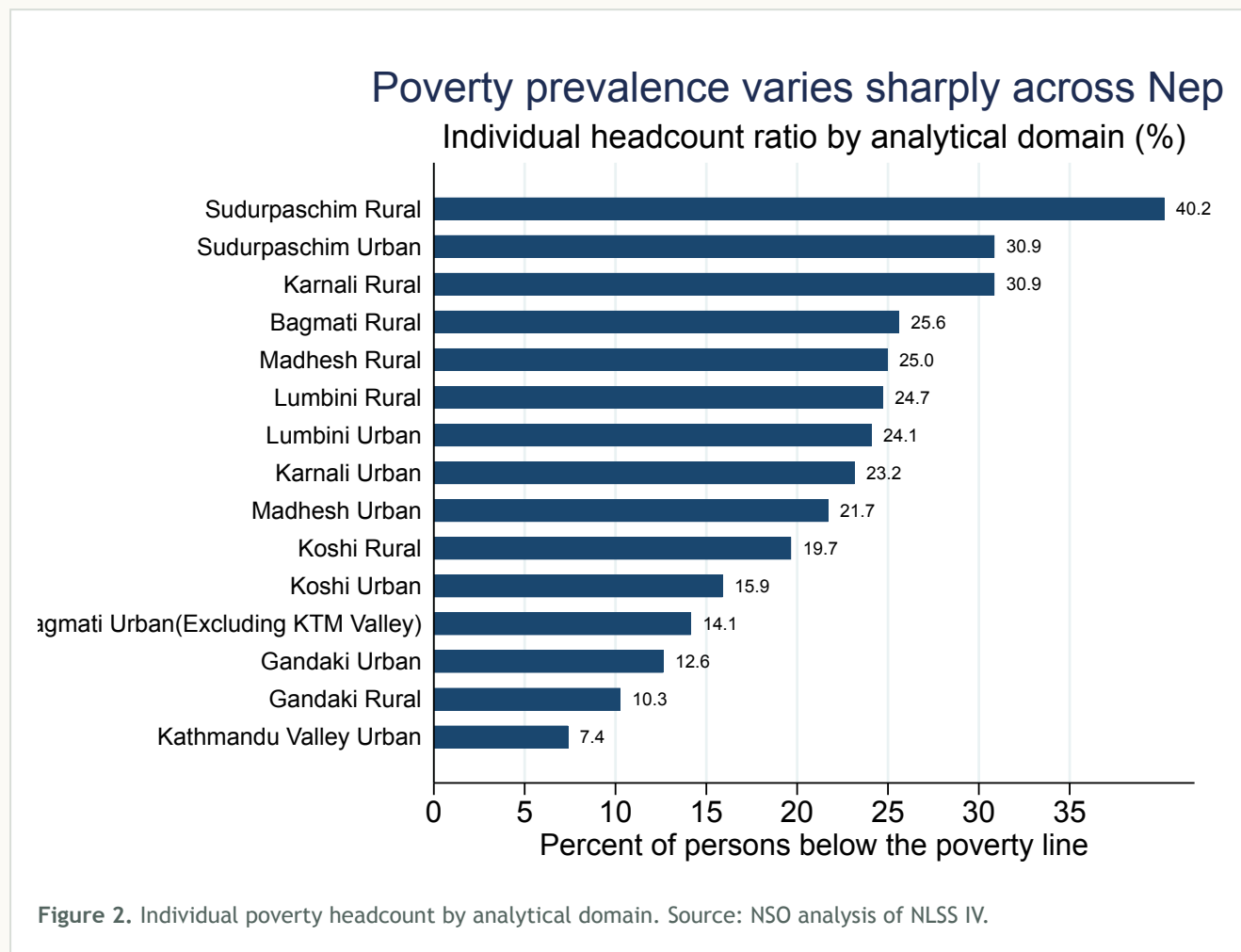
Urban combines Kathmandu Valley and other urban areas. Ginis use person weights and real per-capita consumption.

Area/group	Household poverty (%)	Individual poverty (%)	Gini
Male	16.9	20.3	0.303
Female	16.3	20.3	0.294



3. The national average conceals a five-fold domain gap

Individual poverty ranges from 7.4% in Kathmandu Valley Urban to 40.2% in Sudurpaschim Rural. Sudurpaschim Urban and Karnali Rural are also above 30%. High inequality and high poverty do not always coincide: Karnali Urban has the highest domain Gini (0.330), while Sudurpaschim Rural has the highest poverty but a lower Gini (0.245).



Recommended action

1

Adopt a transparent geographic allocation rule

Use domain poverty prevalence and estimated poor population together when allocating incremental poverty-reduction funds. Give first priority to Sudurpaschim Rural, Karnali Rural, and other rural domains above the national rate; publish the rule and update it when new official estimates are released.

2

Pair household transfers with person-sensitive benefit design

Because person poverty exceeds household poverty by 3.6 percentage points, size benefits for household composition rather than providing a flat amount per household. Protect children and other dependants in larger poor households.

3

Use different instruments for poverty and inequality

In high-poverty rural areas, combine predictable social assistance with connectivity, market access, climate-resilient livelihoods, health and education services. In unequal urban domains, complement targeted support with affordable housing, labour-market access and service coverage for low-consumption households.

4

Do not use head gender as the sole targeting criterion

The near-identical headcount rates suggest that head gender alone has weak poverty-targeting power. Retain gender-responsive programming, but identify deprivation using consumption, household composition, disability, remoteness and access to services; separately analyse outcomes for women and girls.

5

Institutionalise a poverty dashboard and evaluation cycle

Track person and household headcounts, Gini, beneficiary incidence and service outcomes by the same domains. Pre-specify programme evaluations and use future NLSS rounds to measure change rather than inferring trends from this cross-section.

Complete estimates

Area/group	Household poverty (%)	Individual poverty (%)	Gini
Koshi Urban	13.4	15.9	0.284
Koshi Rural	16.6	19.7	0.313
Madhesh Urban	18.9	21.7	0.302
Madhesh Rural	21.6	25.0	0.242
Kathmandu Valley Urban	6.1	7.4	0.266
Bagmati Urban(Excluding KTM Valley)	12.8	14.1	0.314
Bagmati Rural	20.1	25.6	0.327
Gandaki Urban	10.9	12.6	0.280

Area/group	Household poverty (%)	Individual poverty (%)	Gini
Gandaki Rural	7.9	10.3	0.261
Lumbini Urban	19.1	24.1	0.322
Lumbini Rural	20.3	24.7	0.270
Karnali Urban	18.4	23.2	0.330
Karnali Rural	25.5	30.9	0.266
Sudurpaschim Urban	27.2	30.9	0.291
Sudurpaschim Rural	35.0	40.2	0.245

Definitions. A household is poor when its spatially deflated annual per-capita consumption is below NPR 72,908.05. Household estimates use calibrated household weights; individual estimates and all Ginis use the household weight multiplied by household size. Figures are point estimates; confidence intervals are not reported because strata identifiers were not supplied. “Dynamics” here refers to the distribution across population groups and places, not change over time.

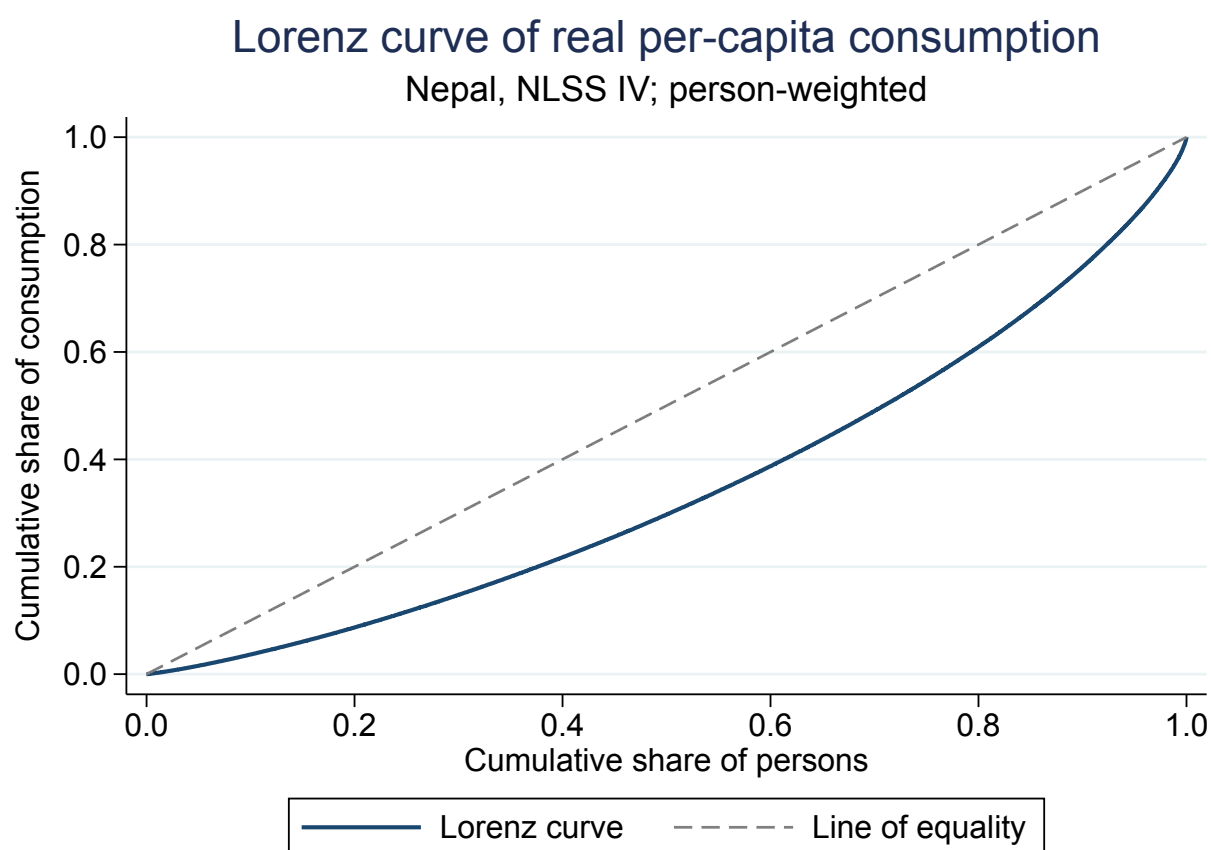


Figure 3. National Lorenz curve of real per-capita consumption. The Gini is 0.300. Source: NSO analysis of NLSS IV.